

ILLUSTRATION BY **RAJ VERMA**

▶ **Large caps have borne the brunt of the sell-off, while small- and mid-cap indices gained 25–30% between April and September, backed by stronger earnings and margins**

▶ **Rising crude prices and US bond yields, along with heavy foreign selling, have weighed on Indian equities even as the economy continues to grow at 7.8%**

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ABHISHEK SARASWAT HAS been a regular investor in Indian equity funds for the past five years. An engineer by qualification, the Noida-based 33-year-old works with a global tech multinational corporation and has deployed about 15% of his income in monthly systematic investment plans (SIPs) in several equity schemes. "The first two years were super good," Saraswat says. "But the last 24 months have been painful—no returns."

Saraswat's sentiment echoes that of thousands of retail investors who have been left on the fence as Indian equities took a deep dive after years of strong gains. Posts on social media, conversations in dealing rooms, drawing rooms and boardrooms, around coffee machines in offices and on the street, continue to focus on a bloodbath that shows no signs of letting up.

Steadily going downhill, with only a few spurts of growth, the Nifty 50 has fallen for eight consecutive weeks—its longest losing streak in the past two decades—as sustained selling by foreign investors, rocketing US bond yields, rising interest rates and surging crude oil prices have overshadowed an economy galloping at 7.8% and made Dalal Street one of the worst-performing major markets globally (*see charts*).

Compared to its previous peak of 26,277 in September 2024, the Nifty 50 has fallen about 15% to date, is down about 20% in dollar terms so far this year, and is now threatening to test two-year lows.

For investors like Saraswat, the question is obvious: Is this the time to stay away from equities—or the time to buy? Market veterans argue it is the latter.

"I believe we are somewhere in the endgame here," Dinshaw Irani, CEO of Helios Capital, told *Business Today*. "I think it is time when one should be braver to start averaging as such, and that's what maximizes the returns every time. So, I love it."